

18. Rise of Private Players (Benefits for Farmers)

- No concept of milk holidays: During surplus production, cooperatives used to refuse milk from farmers. These periods of overproduction were milk holidays. Private players did not do so.
- Higher realisation v/s cooperatives: As private players could also charge higher charges against the cooperatives due to their brand.
- Transparency and timeliness in payments.
- Support services to farmers (E.g. credit, cattle feed).
- More efficiently managed.

19. Advantages of direct procurement from farmers

- Elimination of agent commission
- Lower working capital investments: Farmers are paid once a week v/s agents paid every two days.
- Much higher stability of supply: Agents may switch to supply to rival firms.
- Greater proximity to farmers: Farmers get better support as well.

Challenges of Direct Procurement

- Best producing areas near metros are already occupied by existing companies.
- It is difficult to make the farmer switch to a new company as they trust the older ones.

20. Indian companies growing through mergers and acquisitions

- Hindustan Unilever acquired Adityaa in Karnataka in August 2017.
- Heritage Foods acquired Varman Milk in Punjab in November 2017.
- Lactalis acquired Tirumala in Andhra Pradesh in January 2017.
- Parag Milk Foods acquired Danone's plant in April 2018 for access to northern India.

21. History of Dairy Sector in India

- In 1946, dairy farmers in Anand, Gujarat formed their own cooperative to fight against unfair trade practices of middlemen.
- In 1970, Operation Flood was implemented.
- In 1991, the dairy sector was deregulated and privatised.
- In 2003, milk and milk products order was amended. Private companies did not have to register with local authorities. They were granted complete autonomy.
- India turned from a milk deficit country to a milk surplus country between 1970 & 1990.